

SEZs: A Catalyst for Growth

How does a country of over a billion people take on the challenge of providing a better life to its citizens? The question would naturally elicit a million different responses having their roots in several social, economic and political measures. No one today, however, doubts the efficacy of faster and broad based economic development as a primary tool for providing the average Indian a better deal. The post-1991 reforms have borne results with the economy growing at more than 9% annually and all sectors from services to manufacturing recording impressive performance.

While we rejoice our success, we have to be aware of the challenges in order to maintain our impressive sojourn. The country needs massive investments in manufacturing, infrastructure development and in its productive capacities. We also need to aggressively promote exports of goods & services in an ever so highly competitive global marketplace. This alone would lead to a strong edifice for sustained growth and creation of productive employment. These were the very aims for which the Government of India mooted the Special Economic Zone (SEZ) Policy in April 2000 which was further concretized through the SEZ Act 2005 and the SEZ Rules 2006 policy. The concept of SEZ is not a new one and it is an improvement to the concept of Export Processing Zones. India was one of the first in Asia to recognize the effectiveness of the Export Processing Zone (EPZ) model in promoting exports, with Asia's first EPZ set up in Kandla in 1965. Seven more EPZs were set up thereafter. However, the EPZs were not able to emerge as effective instruments for export promotion on account of multiplicity of controls and clearances, absence of world-class infrastructure, and an unstable fiscal regime.

In order to overcome these shortcomings and attract larger foreign investments in India, the SEZ Policy was announced in April 2000. This policy was intended to make SEZs an engine for economic growth supported by quality infrastructure complemented by an attractive fiscal package, both at the Centre and the State level, with the minimum possible regulations. The SEZ Act, 2005, supported by the SEZ Rules, came into effect on 10th February, 2006, providing for drastic simplification of procedures and for single window clearance on matters relating to Central as well as State Governments.

The main objectives of the SEZ Act are generation of additional economic activity, promotion of exports of goods and services, promotion of investment from domestic & foreign sources, creation of employment opportunities and development of infrastructure facilities. An important feature of The SEZ Act 2005 is the key role it accords to State Governments in Export Promotion and for creation of related infrastructure. Further, a Single Window SEZ approval mechanism has been provided through a 19 member inter-ministerial SEZ Board of Approval (BoA). All decisions of the BoA are with consensus.

Issues where there is no consensus are referred to the Empowered Group of Ministers (EGOM) for directions.

The SEZ concept recognizes the issues related to economic development and provides for developing self-sustaining Industrial Townships so that the increased economic activity does not create pressure on the existing infrastructure. This issue is addressed in the SEZ policy by specifying a non-processing area for creation of support infrastructure. Every SEZ is divided into a processing area where alone the SEZ units would come up and the non-processing area where the supporting infrastructure is to be created. The SEZ Developer would be responsible for all civic amenities and infrastructure including roads, sewerage, open spaces, green spaces, education facilities, power, water supply and housing etc.



G.K. Pillai, Commerce Secretary

Based on the UDPFI (Urban Development Plan Formulation & Implementation) guidelines issued by the Ministry of Urban Development the minimum processing area requirement for a multi product SEZ was earlier prescribed as 35%, with a provision of relaxation up to 25% by the BoA. The minimum processing area was kept at 50% in the case of sector specific SEZs. Government has since decided to fix the minimum processing area uniformly at 50% for multi product SEZs as well as for sector specific SEZs.

The SEZ Rules provide for different minimum land requirement for different class of SEZs. These are 1000 hectares for multi-product SEZs, 100 hectares for sector specific SEZs, 100 hectares for multi-services SEZs and 10 hectares with minimum built up processing areas of 100,000 sqm, 40,000 sqm and 50,000 sqm for IT, Bio-Technology, Gems & Jewellery SEZs respectively. Lesser minimum area requirement has been specified in respect of Union Territories including the erstwhile UT of Goa and special category States of Assam, Meghalaya, Nagaland, Arunachal Pradesh, Mizoram, Manipur, Tripura, Himachal Pradesh, Uttaranchal, Sikkim and Jammu & Kashmir.

The approval mechanism for setting up SEZs is kept simple and yet thorough. For setting up of SEZ in the private/joint sector a proposal has to be submitted to the concerned State Government that in turn forwards the same to the Department of Commerce with their recommendations. Thereafter, the BoA considers the proposal alongwith the recommendation of the State Government. Applicant also has the option to submit the proposal directly to the BoA. In such cases, the applicant will have to obtain the concurrence of the State Government within 6 months from the date of such approval.

Once an SEZ has been approved by the BoA and Central Government has notified the area of the SEZ, units are allowed to be set up in the SEZ. All the proposals for setting up of units in the SEZ are approved at the Zone level by the Approval Committee consisting of Development Commissioner, Customs